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Department of Management Studies

BUSINESS IMMERSION PROGRAM – 2024

Report On

MICROSOFT CORPORATION

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INDUSTRY PROFILE

Microsoft corporation

Microsoft corporation is a technological based company. The technology industry is comprised of companies that design, manufacture, or distribute electronic devices such as computers, computer-related equipment, computer services and software, scientific instruments, and electronic components and products. The composition of this industry is very different than that of most others; due to the brisk pace of innovation there is an unusually extensive investment in research and development required. The technology industry is relatively young; its origins can be traced to the 1904 invention of the two-element electron tube. However, until the internet was available to common consumers, computers were not very popular. In the 1990s, when the internet was available to all, there was an explosion in the use of personal computers. That explosion made household names out of entrepreneurs such as Bill Gates and Steve Jobs. The early part of 2000 saw a drastically reduced demand for computers, but in 2003 and 2004 the market experienced a turnaround as consumers sought multi-tasking computers that could handle a myriad of photo, video, and audio applications. Since then the technology has spread to mobile phones and tablets that offer all the services of a normal stationary computer.

Contrary to what one might expect, most companies in this industry are small. This is because, although the product may be complicated, only a small investment is needed to

fund the manufacture of many types of electronic components, especially in the software segment of this industry. However, these small companies are often bought by big revenue earners once they develop a hit product. As for software companies, Microsoft Corp., IBM, Google and Oracle Corp. rule the roost. By nature, the technology industry is constantly changing and evolving. On the corporate level, mergers and acquisition are common practice since they allow companies to combine their resources and knowledge in a highly competitive environment. Computer companies now must compete with companies in the consumer electronics and telecommunications markets as technologies become increasingly integrated in many multifunctional devices. Technology companies tend to go abroad to grow revenues, secure market share, and gain access to low-wage workers. As a result, this borderless industry challenges companies to manage a global work force, currency hazards, technology transfers, and a global supply chain, all the while responding to governments and regulators. Technology companies tend to go abroad to grow revenues, secure market share, and gain access to low-wage workers. As a result, this borderless industry challenges companies to manage a global work force, currency hazards, technology transfers, and a global supply chain, all the while responding to governments and
regulators.

COMPANY PROFILE

MICROSOFT CORPORATION

Microsoft Corporation is an American multinational technology company that has been a key player in the computer industry. The history of Microsoft began on April 4, 1975 and is headquartered as One Microsoft Way in Redmond, Washington by Bill Gates and Paul Allen. Microsoft was not an equal partnership. The equity was split out in a 64/36 split that favored Gates. Paul Allen was only involved in the company from 1975 to 1983, at which time he began selling shares to fund his many other ventures that weren't as successful as Microsoft.

1981 **2013**

Microsoft's current best-selling products are the Microsoft Windows operating system and the Microsoft Office suite of productivity software. The company has been creating inspired innovations and chasing a futuristic vision since its founding in 1975. All these years later, Microsoft has yet to slow down. At its core, the company is built on creativity and invention. Microsoft can be easily called as a global tech giant. Unlike other tech companies with one signature product or idea, Microsoft operates under the pretense that there's always more to discover, more to create, and more to do to make the world a better place. Microsoft's innovations and products are known worldwide. They garner attention, millions of users, and industry praise, but there is so much work that goes on behind the scenes, innovations that have made it possible for Microsoft to achieve powerhouse status. For example, Microsoft is "the first cloud provider that is running two-phase immersion cooling in a production environment," a feat that allows Microsoft

software to run on numerous computers without worry of overheating. Its enterprising attitude has lead it to make smart acquisitions and grow its suite of products and capabilities. In 2021, Microsoft acquired The Marsden Group, a tech company specializing in industrial environments. Other important acquisitions have been Hotmail in 1997, Skype in 2011, and nearly 10 acquisitions in 2020 alone.

Microsoft operating system

X

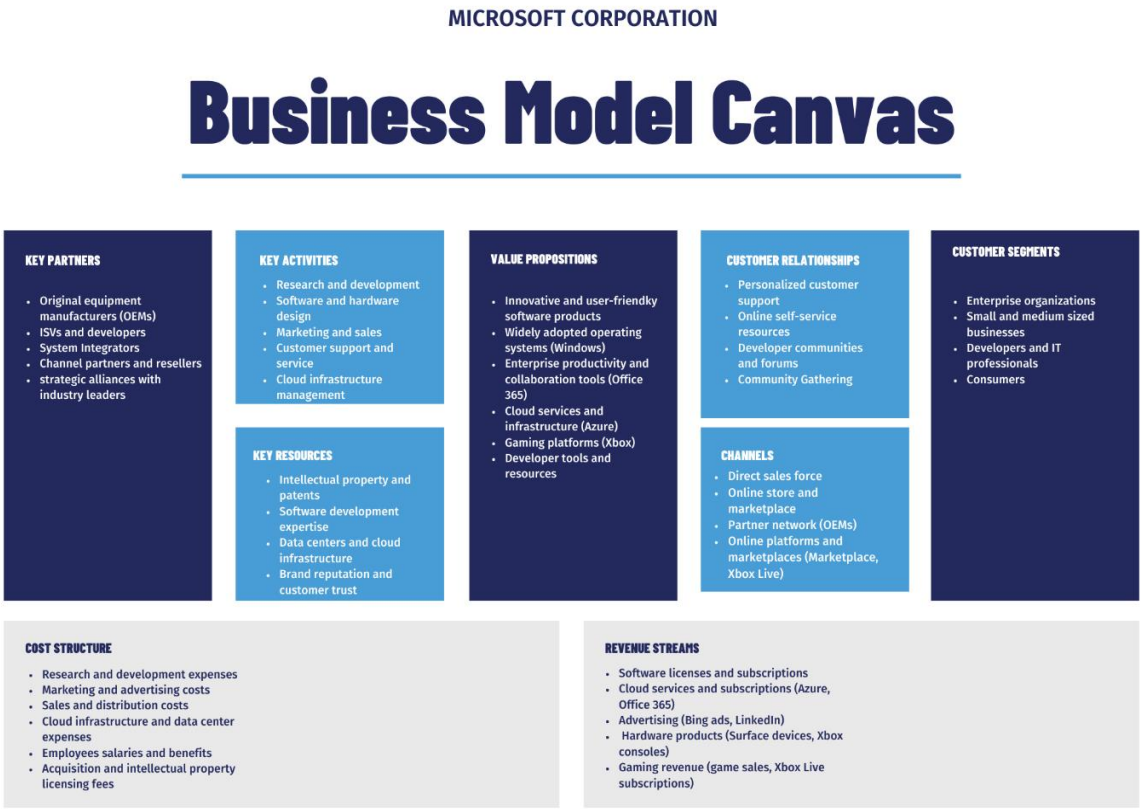
IBM computers

In 1980, Microsoft formed a **partnership with IBM** to bundle Microsoft's operating system with IBM computers; with that deal, IBM paid Microsoft a royalty for every sale. In 1985, IBM requested Microsoft to develop a new operating system for their computers called **OS/2**. Microsoft produced that operating system, but also continued to **sell their own alternative, which proved to be in direct competition with OS/2**. Microsoft Windows eventually overshadowed OS/2 in terms of sales. When Microsoft launched several versions of Microsoft Windows in the 1990s, they had captured over 90% market share of the world's personal computers.

In January 2000, Bill Gates resigned from the Microsoft CEO position, and then Steve Ballmer became the CEO of Microsoft. Then in 2001, Microsoft launched its new version of Windows called **Windows XP** which was the most famous operating system ever. Then in 2017, Microsoft ramped up its cloud computing business after amazon's **Web services** called Azure services platform.

Microsoft also dried its hand in developing its own operating system for smartphones called the Windows phone which was launched in 2012 but failed miserably. Since then Microsoft has lost a huge chunk of its users to other companies like Google and Apple. Then finally on February 4, 2014, Steve Ballmer stepped down as Microsoft CEO and then Satya Nadella took command over Microsoft. Since the tenure of Satya Nadella, Microsoft has focused a lot on the upcoming future technology like cloud computing, metaverse, and gaming.

Microsoft’s workflow model



Value Propositions of Microsoft

Microsoft provides its target customers with operating systems like Windows and a productivity suite through Office. The software aims to improve personal and corporate communications and productivity. Microsoft's productivity suite is also available to commercial entities through licenses and individual users. It works by charging subscription fees for accessing specific Microsoft tools.

Cloud services is another division of Microsoft that generates revenues for the company. They offer public, private, and hybrid servers. Microsoft's business partners can also use storage and cloud computing services. Those using the company's products know that its cloud services include Windows Server, Microsoft Azure, Enterprise Services, SQL Server, and GitHub.

Customer Segments of Microsoft

Generally, Microsoft's customer segments are divided into two categories - the consumers and enterprise. Most businesses now need productivity tools for an efficient workflow. This is where Microsoft's productivity suites come in. Furthermore, the company's server management, consulting services, and IT support are essential for this customer segment.

Microsoft caters to the general customers. Its consumers generally utilize all its standard solutions, including Skype, Outlook, Office, cloud, and more.

Key Partners of Microsoft

There is only one significant partner under the Microsoft business model canvas: the company's app developers. Besides them, the company also partners with companies providing data management, analytics, digital marketing and advertising, telecommunications, system integration, and internet hosting services. All these external stakeholders ensure Microsoft's software and product solution works perfectly for every consumer.

Key Activities of Microsoft

Microsoft is a tech company, so it is just fitting that one of its key activities includes software development. The company might be a giant in the industry. However, competition is still challenging, so its R&D team must also ensure that innovative Microsoft products and services provide customers with the latest technological updates.

Along with it are the company's marketing efforts to ensure Microsoft stays at the top, regardless of competition, generating sales and revenue.

Customer Relationships of Microsoft

Microsoft gives its consumers the freedom to navigate software and hardware products. They don't have much personal staff interaction as most of its products are self-service. Meanwhile, corporate services and products need personal assistance from Microsoft teams and representatives, especially regarding support, advertising, and consulting. The company's social media accounts on Twitter and Facebook are also used to interact with Microsoft customers directly.

Key Resources of Microsoft

The Microsoft business model canvas encompasses essential key resources, with a focus on the company's expansive user base and its proprietary software products. Given Microsoft's diverse customer base and wide-ranging market segments, it's reasonable to anticipate additional key resources and inputs that contribute to the company's overall success and innovation. These resources collectively support Microsoft's position as a global technology leader.

Channels of Microsoft

Microsoft employs multiple distribution channels to market its products, encompassing retailers, the official Microsoft website, OEMs (Original Equipment Manufacturers), and direct sales and resellers. These channels play a vital role in ensuring the accessibility of Microsoft's offerings to its target customers. Through strategic partnerships and marketing efforts, Microsoft products reach a wide audience, further contributing to the company's success.

Cost Structure of Microsoft

As previously mentioned, Microsoft must innovate its services. This is why one of its significant expenses goes to software and development. A considerable cost is also spent on cloud infrastructure and workforce. Besides the productivity tools, Microsoft also offers intelligent cloud services, which are essential for customers using other Microsoft tools. Of course, people are behind all these processes; hence, the company also provides a budget for its human resources.

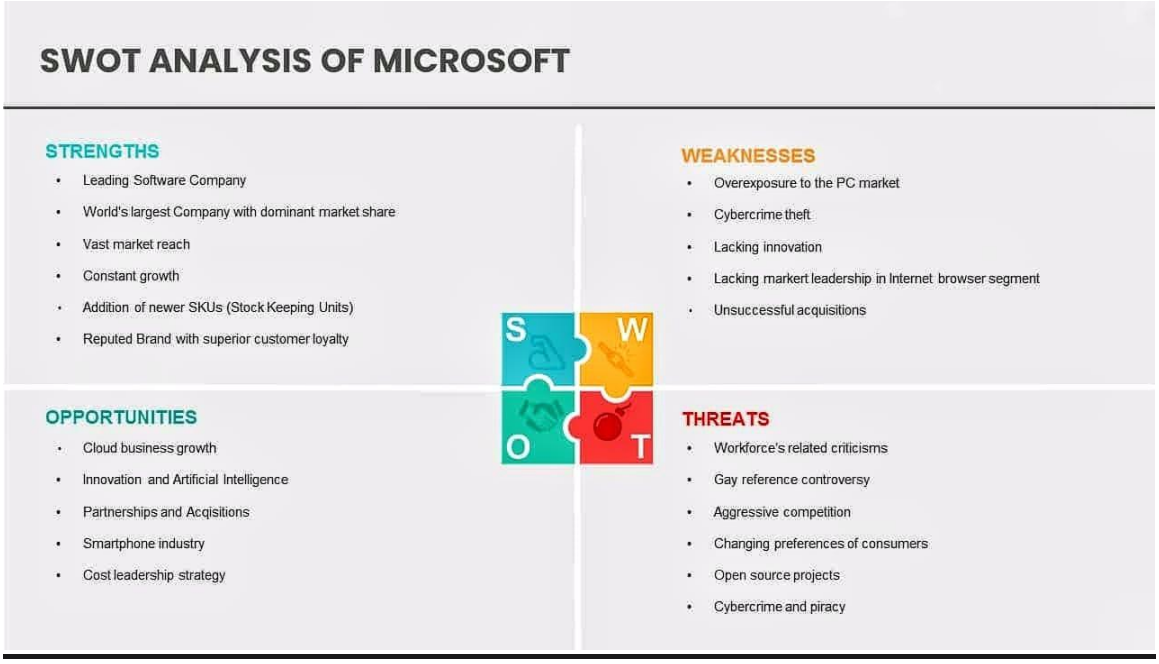
Revenue Streams of Microsoft

Microsoft generates significant revenue by licensing its Windows operating systems and productivity tools. Licensing fees serve as one of the company's primary income sources. Furthermore, subscriptions play a pivotal role in driving sales and revenue for Microsoft. The combination of licensing and subscription-based models ensures a steady income stream for the company.

Evolution of windows operating system from 1985 to 2015.

These windows operating system services has been one of the prime profit generating services for Microsoft generating a whopping $24 billion in revenue in 2022.

SWOT ANALYSIS OF MICROSOFT CORPORATION



STRENGTHS

1. Leading Software Company

Microsoft is the undisputed global market leader in software technology, specifically in cloud computing. It's the world's largest developer of Windows OS and the leading cloud player. It offers commercial cloud services through Azure, Office 365, and Dynamics 365. In 2022, daily users of its remote work solution, Microsoft Teams, doubled from 145 million users in 2021 to 270 million in 2022.

2. World's largest company

Microsoft ranks 2nd largest company globally, with a market value of $2.46 trillion as of Oct 2023.

3. Vast market reach

Microsoft operates in more than 190 countries worldwide. After launching the promoted version of Windows 10, it reached one billion monthly active users before being succeeded by Windows 11 in 2021.

4. Constant growth

The latest earning results of Microsoft demonstrate its strong growth in the cloud business. The company reported year-over-year revenue growth of 17.96% to $198.3 billion in fiscal year 2022 and a 19.26% year-over-year growth in operating income to $83.4 billion in the same period.

5. Addition of newer SKUs (Stock Keeping Units)

Microsoft has recently added newer SKUs to its brand portfolio. This includes Microsoft 365, combining Office 365 and Windows 10. Its M365 is a multi billion dollar business.

6. Reputed Brand with superior customer loyalty

Microsoft had 1.2 billion Office users and 345 million Office 365 commercial customers in 2022. It undoubtedly has the most extraordinary loyal customer base. Customers trust the brand and remain loyal to it.

WEAKNESSES

1. Overexposure to the PC market

PC shipments are often subjected to frequent falls due to vendors' rising prices and currency fluctuations. It has landed Microsoft in a vulnerable position.

2. Cybercrime theft

The increasing cybercrime cases have left Microsoft in a vulnerable state. Hackers have reportedly attacked the cybersecurity of the Windows Operating System several times.

3. Lacking innovation

Microsoft needs to grow its hardware product sales, such as surface pro computers and phones. It needs to catch up in innovation and advanced technology,
whereas Apple, Google, and Amazon are quickly blazing trails.

4. Lacking market leadership in the Internet browser segment

While Google, and Safari have been gaining market share in the Internet browser segment, Microsoft is losing the market in Microsoft IE & Edge, based on the 2023's most popular web browsers report.

5. Unsuccessful acquisitions

Microsoft's fewer acquisitions like WebTV, Link Exchange, Massive, and Danger resulted in failures and divestitures. Such unprofitable investments are the biggest weaknesses of Microsoft.

OPPORTUNITIES

1. Cloud infrastructure business growth

Its cloud-based services have gained immense growth and success in recent years. Thus, there's an opportunity for Microsoft to expand its cloud business. Microsoft launched Microsoft Cloud for Healthcare to cater to the needs of healthcare organizations post pandemic and helped organizations reimagine healthcare. It also reported a 2% market share growth from 21% to 23% from Q3 2022 to Q4 2022 in the cloud infrastructure market. On the contrary, the market share of Amazon went down from 34% to 33%, while that of Google remained constant at 11%.

2. Innovation and Artificial Intelligence

Microsoft has a massive opportunity in many innovative areas, like AI and game technology. Investing in these areas can give an upper hand to Microsoft.

3. Partnerships and Acquisitions

Microsoft can focus on entering into new strategic alliances and partnerships. It will enable the company to gain a high market share. Acquiring major hi-tech firms will also be a profitable opportunity for Microsoft. Microsoft won a five-year deal in April 2020 to supply Coca-Cola's business software.

4. Smartphone industry

The fast-growing market of smartphones and tablets offers an excellent opportunity for Microsoft. It can capitalize on the rising demand for these products.

5. Cost leadership strategy

Microsoft can gain the opportunity of increasing its sales and revenue by offering its products at low prices. It may also prevent hackers from using its software illegally.

THREATS

1. Workforce's related criticisms

Microsoft's 2022 workforce diversity statistics showed an imbalance in its recruited workforce. The number of women and minorities working was quite low, fueling severe criticism and arguments against the company's HR policy.

2. Gay reference controversy

Microsoft has faced many criticisms for its Xbox Live game service. Reference to homosexuality and gays can't be used in the Gamertag and user's profile, as the company considers this matter 'unsuitable' and 'offensive' for other users.

3. Aggressive competition

Microsoft has intense competition with Google and Apple. These companies' established positions can be a threat to Microsoft's market position. In June 2020, Google enhanced its competition for remote work by adding video-call features, editing tools, and other remote work tools in Gmail to lure clients from Microsoft.

4. Changing preferences of consumers

People are highly attracted to the market of smartphones, notepads, and laptops. Microsoft has modest shares in these markets.

5. Open-source projects

Like Linux OS and Open-Source Office, many new open-source projects have successfully entered the market, offering similar services for free. It can threaten Microsoft, which offers these products at an expensive rate.

Microsoft Corporate Social Responsibility (CSR)

The technology giant won a number of awards and achievements for its responsible behavior. These include ranking #1 on Corporate Responsibility Magazine's 100 Best Corporate Citizens 2018, ranking #1 for both, Environment and Social Score which measures corporate performance using more than 200 factors. Moreover, Microsoft's behavior as a socially responsible company has earned number 2 spot on JUST Capital's Top 10 Tech Companies.

Microsoft CSR Programs and Initiatives

Microsoft Supporting Local Communities

- Microsoft employees donated USD158 million to non-profits serving its local communities and the world.
- The Lagos Solar project in Nigeria uses batteries that are charged by solar panels, along with intelligent inverters connected to Microsoft Azure Internet of Things technology.
- International software provider Temenos relies on Microsoft Cloud services to reach people across Myanmar who lack access to banking, giving them opportunities for more financial stability and access to microcredit and other financial services.
- Microsoft's 4Afrika Initiative provides a set of programs to empower African youth, entrepreneurs, developers and business and civic leaders.
- YouthSpark initiative aims to empower 300 million young people around the world with opportunities for education, employment, and entrepreneurship.

Microsoft Educating and Empowering Workers

- Microsoft collects employee feedbacks through multiple channels and acts on them. As part of this initiative nearly 85 percent of our more than 117,000 employees responded employee survey.
- 92% of surveyed stated they feel proud to work at Microsoft and 87% of employees would recommend Microsoft as a great place to work.
- 90% of Microsoft's employees are eligible for various bonuses.

Labour and Human Rights at Microsoft

- Since 2016, Microsoft has had a formal commitment to respect human rights as a signatory of the United Nations Global Compact.
- The technology company adheres to its Global Human Rights Statement.
- Microsoft provides health and wellness programs for families, paid vacation, paid sick leave and paid time off for new parents.

Employee Health and Safety at Microsoft

- The Microsoft CARES employee assistance program, offers free access to services including personal and family counselling, stress management, and referrals for child/elder care.
- The Microsoft Ergonomics Program offers the workforce ergonomic assessment and training programs and special furniture, equipment, and software for medical needs.
- The company conducts Voice of the Supplier Surveys in an anonymous manner to monitor the adherence to health and safety and other important CSR-related principles.

Microsoft and Gender Equality and Minorities

- The company is one of the first Fortune 500 companies in the world to offer domestic partner benefits for Microsoft LGBT employees.
- Since 2016 the company has nearly doubled the number of women corporate vice presidents – both overall and in technical roles.
- African American/Black and Hispanic/Latino representation among the workforce reached increased by 33% in 2017.
- Microsoft spent USD3 billion with minority, disabled, veteran, and woman owned businesses in FY18.

Energy Consumption by Microsoft

- 44% of the electricity used by Microsoft data centers comes from wind, solar, and hydro power electricity.
- Air cooling techniques used at Microsoft data centers result in 20-30 percent lower energy consumption.
- Microsoft leveraged its corporate campus to help create an analytical software solution that prioritizes maintenance and repairs our 125 Puget Sound buildings based on energy and cost savings potential.
- All new data centers of Microsoft have an average 1.125 Power Usage Effectiveness (PUE), which is one-third less than the industry average data centre PUE of 1.7.

Water Consumption by Microsoft

- Air cooling techniques used at Microsoft data centres result in 90% lower water consumption.
- In India, the company captures rainwater for irrigation, and on its Hyderabad campus, it treats sewage for use in landscaping, resulting in zero sewer discharge.
- Paris office also uses captured rainwater for irrigation and flushes fixtures.

Waste Reduction and Recycling by Microsoft

- Microsoft Real Estate and Facilities teams around the world implement waste minimization programs, including office supply reuse, recycling, and in many cases, composting.
- Company's Redmond, Washington dining facilities divert 99 percent of the waste from the landfill by recycling, using compostable tableware, and adapting our menu to minimize food waste.

Carbon Emissions by Microsoft

- Since July 1, 2012, Microsoft's global operations have been carbon neutral.
- The company has purchased more than 14 million megawatt-hours (MWh) of green power and reduced company-wide emissions by more than 9 million metric tons of carbon dioxide equivalent (mtCO2e).
- Microsoft has supported the lives of more than 7 million people in emerging nations through carbon offset community projects.
- Company's carbon offset project portfolio represents more than 600,000 metric tons of carbon dioxide (CO2) emissions

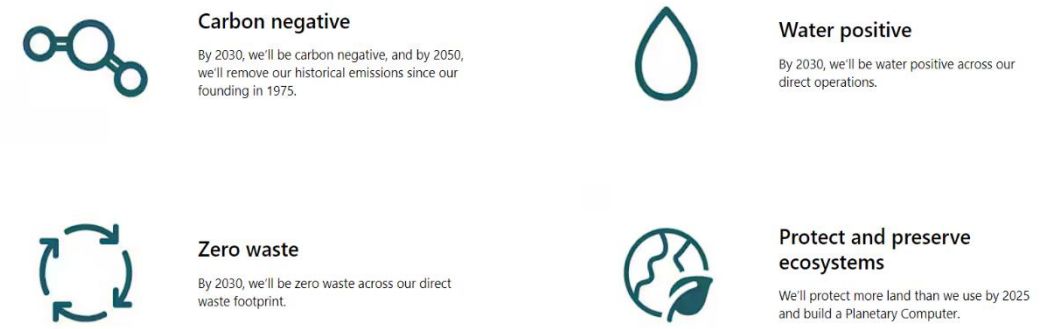
Microsoft and Sustainable Sourcing

- The company evaluates the operations of its suppliers against 23 different ethical, social, and environmental risks.
- Microsoft's Device Supply Chain group (DSC) and indirect purchasing group oversee dedicated programs to ensure that its standards are met and to build partnerships with suppliers that advance social and environmental goals.

- Company's Global Procurement Group created a formal responsible sourcing function in 2013 to consolidate and enhance its responsible sourcing activities with our indirect suppliers.
- More than 100,000 device and packaging components provided by suppliers have been evaluated for compliance by Microsoft.

Microsoft's other CSR Initiatives and Charitable Donations

- The International Association of Privacy Professionals (IAPP) has recognized Microsoft for having the 'second largest number of certified privacy professionals (CIPP) of any company.
- Microsoft employs more than 50 people whose primary role is investigating potential breaches of company policy, and an additional 120 people whose primary role is compliance.
- Microsoft has launched Office 365 for Nonprofits in 92 countries around the world, providing USD55 million worth of Office 365 subscriptions to nearly 11,500 nonprofits globally.
- Microsoft completed the Global Network Initiative (GNI) Phase III Assessment, conducted by an independent assessor, and the GNI Board determined that Microsoft is compliant with the GNI Principles on Freedom of Expression and Privacy.
- The company began the audit of its non-hardware suppliers against 23 different ethical, social, and environmental risks by country and by commodity category.



Microsoft work to ensure that technology is inclusive, trusted, and increases sustainability. In 2020, They announced these sustainability commitments and detailed plans for working towards a more sustainable future.

Future prospects of Microsoft

Microsoft's fast growth days are not over. Unfortunately, Windows, Xbox, and Office have such massive market penetration and little room for continued growth remains in these segments. However, when we look at management's discussion of performance we see four high growth segments. Microsoft Cloud, Azure, LinkedIn, and Microsoft cloud services all grew by over 30% last year.

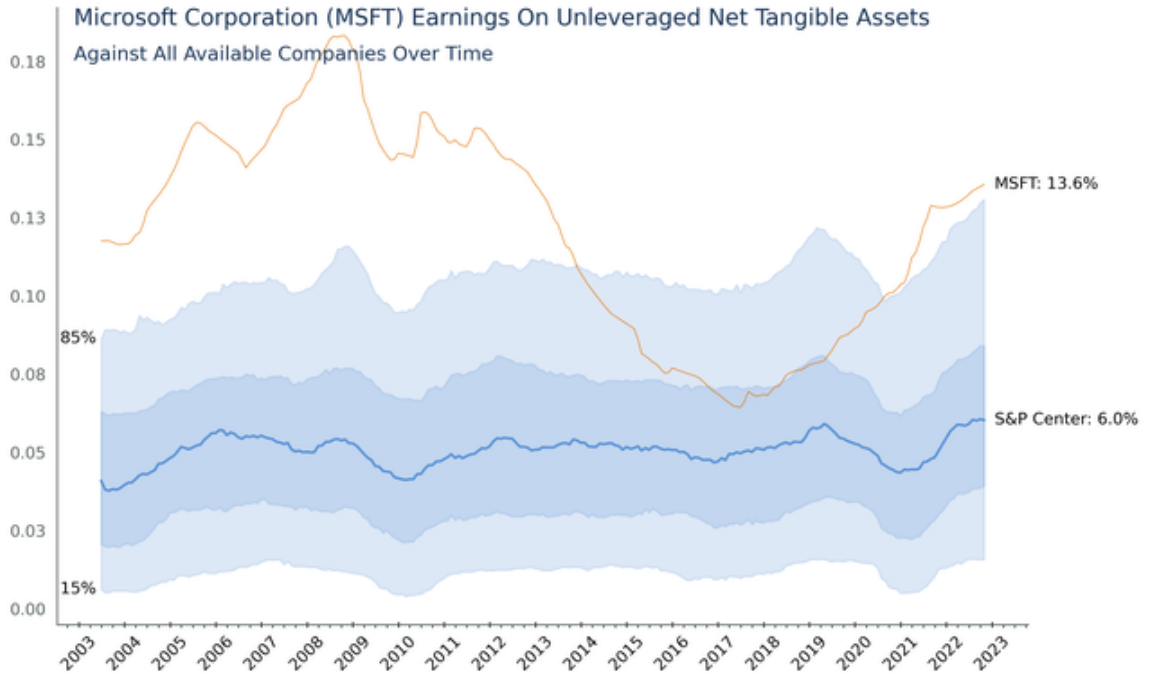
Microsoft may just be the future of Artificial Intelligence you have not heard of ChatGPT try it and ask it a question, then ask a follow up. Trust me, you will be amazed. It is an AI based on a Large Language Model that just passed a practice online bar exam, so it is smart enough to be a lawyer. Ok, before you slay me in the comments, I did not say good lawyer. Highly qualified computer programmers are even referring to it as a computer programmer. You can ask it to write code, then fix and adjust the code it previously wrote. The geniuses at OpenAI have many other groundbreaking successes as well and can be expected to continue to deliver. That's great you say but what does it have to do with Microsoft? Microsoft is one of the largest funders of OpenAI. This undoubtedly gives Microsoft privileged access to the engineers at OpenAI enabling them to be first to market derivative products. Microsoft has already announced it is preparing to launch a version of Bing Search relying on ChatGPT. You may know about ChatGPT already, but do you know that Microsoft owns GitHub and already released GitHub Copilot in collaboration with OpenAI? When GitHub released Copilot in June of 2022 software developer threads exploded with concerns developers would lose their jobs. It is more useful as an augmentation to a current developer, but still, seriously game changing.

The question remains, can Microsoft return to high growth?

Growth potential

Warren Buffett uses unleveraged net tangible assets to determine what he calls the long-term economic prospects of a business. His logic is simple, increasing earnings without

major capital requirements is a better business to be in. It takes money to make money, but you want it to take as little money as possible.
The following chart shows Microsoft with the rest of the companies in the S&P 500 for context. The blue shaded area here shows the distribution of all other companies in the S&P 500 since 2003. Microsoft (MSFT) is way up at the top above 85th percentile.



At a Return on Unleveraged Net Tangible Assets of 14% Microsoft is well above the rest of the S&P 500 which averages around 6%.

Great companies have extremely high Returns on Net Tangible Assets and show up above the blue region in the chart above. This group is great because they can grow fast. Microsoft is clearly in the great growth category. What is more, the company has been able to return to this category after a 7 year stay in the 'better than most, but not great' light blue region between 2013 and 2020.

Final Word

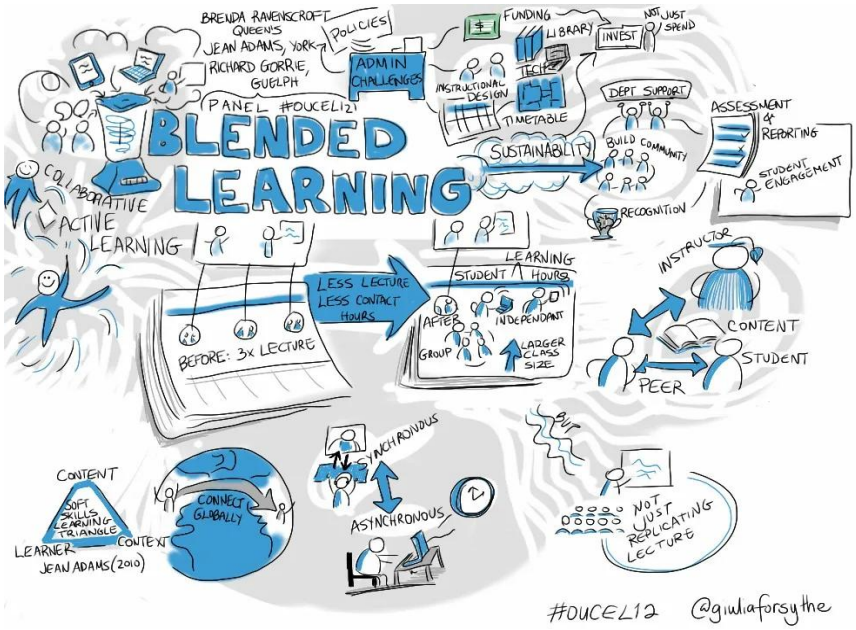
Microsoft may be ready to grow rapidly again. Investments in Artificial Intelligence through open AI are beginning to lead to revenue growth and may be the catalyst for renewed growth. Minor decreases in earnings growth have occurred, but most mature technology companies have seen similar reductions. This decrease in growth has caused share prices to fall, and now Microsoft shares trade at value prices. All Microsoft needs to do to deliver reasonable returns is to grow revenue and earnings in line with current analyst estimates. All this results in minimal risk with the potential for high returns.

Learning experience

As an MBA student researching Fortune 500 companies, exploring Microsoft's journey has been incredibly enlightening. Their resilience and adaptability have stood out amidst dynamic industry shifts and technological advancements.

Microsoft's evolution from a software-focused company to a comprehensive technology leader showcases the power of adaptability. They embraced cloud computing early, pivoting their business model to offer Azure, a leading cloud platform. This strategic move not only addressed market demands but also positioned them as a major player in the digital transformation era.

Furthermore, Microsoft's ability to innovate continuously, evidenced by products like Office 365 and teams, highlights the significance of staying ahead in a competitive landscape. Their acquisition of LinkedIn and GitHub also demonstrates a proactive approach to integrating valuable assets into their ecosystem, enhancing offerings and market positioning.

The company's resilience is evident in how they navigated challenges like the dot-com bubble burst and competition from rivals like Google and Apple. Instead of faltering, they reimagined their strategies, diversified offerings, and focused on building a robust ecosystem that caters to diverse customer needs.

Reflecting on Microsoft's journey reinforces the importance of strategic foresight, innovation, and adaptability in business management. Learning from their experiences, I'm inspired to integrate these principles into my own leadership approach, ensuring agility and resilience to navigate future disruptions effectively.